

CONFIDENTIAL

Quality of Earnings Report

Riverside Hardware Co.

Prepared: 7 Jul 2026

Prepared using AI-assisted financial normalization. This report is a supporting analytical tool and does not constitute an audit, review, or compilation under AICPA/ICAI standards.

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- This report was generated with AI-assisted categorization of financial transactions provided by the business owner or their representative. It has not been audited, reviewed, or compiled in accordance with AICPA, ICAI, or other professional accounting standards.
- Add-back determinations reflect a reasonable, good-faith interpretation of the source data and are subject to review and adjustment by the preparing broker, the business owner, and any party relying on this report, including buyers, lenders, and their advisors.
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Executive Summary

This Quality of Earnings report provides an analysis of Riverside Hardware Co.'s normalized financial performance within the wxy industry. For the period, normalized revenue stood at 130,320. After incorporating 40,730 in total add-backs, normalized EBITDA was -42,605, resulting in a Seller's Discretionary Earnings (SDE) of 4,525. The positive SDE indicates that the identified add-backs were crucial in achieving discretionary cash flow despite the negative EBITDA.

TOTAL REVENUE	NET INCOME	EBITDA	SDE
¹1,30,320	- ¹42,605	- ¹42,605	¹4,525

Normalized Profit & Loss Statement

Category	Amount
Revenue	11,30,320
COGS	- 165,010
Payroll	- 146,300
Rent	- 119,200
Utilities	- 12,695
Marketing	- 12,400
Insurance	- 11,680
Vehicle	- 16,900
Professional Fees	- 118,600
Travel & Entertainment	- 12,850
Other Operating Expense	- 1890
Owner Compensation	- 16,400
Net Income	- 142,605
EBITDA	- 142,605
SDE	14,525

Add-Back Schedule

The following items were identified as personal, discretionary, or non-recurring expenses added back to EBITDA to calculate Seller's Discretionary Earnings (SDE). Each should be reviewed and confirmed by the business owner.

Add-Back Item	Occurrences	Amount
One-time legal settlement payment; non-recurring expense.	undefined	¹ 18,000
Payroll to owner's son, potentially discretionary or non-essential expense; not required for business.	undefined	¹ 6,400
Owner's personal vehicle expense; not required for business.	undefined	¹ 3,450
Owner's son on payroll; likely discretionary or non-essential expense; not required for business.	undefined	¹ 3,200
Payroll for owner's son, likely discretionary or non-essential expense; not required for business.	undefined	¹ 3,200
Owner's personal travel expense, not business related.	undefined	¹ 2,400
Owner's personal vehicle expense; not required for business.	undefined	¹ 2,300
Owner's personal vehicle lease; not a business expense.	undefined	¹ 1,150
Owner's personal or discretionary entertainment expense.	undefined	¹ 450
Owner's personal cell phone; not a business expense.	undefined	¹ 180
		Total Add-Backs: ¹40,730

Key Ratios & Margins

Metric	Value
Net Income Margin	-32.7%
EBITDA Margin	-32.7%
SDE Margin	3.5%
Total Add-backs as % of Revenue	31.3%

Margins are calculated against total normalized revenue for the analyzed industry benchmarks by a qualified advisor.

Transaction Detail (Categorized)

58 transactions were processed and categorized below. Add-back items are marked with *.

Date	Description	Category	Amount
5 Jan 2025	Square Payments Inc - Retail Sales	Revenue	18,420
10 Jan 2025	ABC Hardware Distributors LLC	COGS	- 9,210
15 Jan 2025	Gusto Payroll - Staff Wages	Payroll	- 6,500
15 Jan 2025	Westgate Properties - Store Rent	Rent	- 3,200
18 Jan 2025	Pacific Gas & Electric	Utilities	- 410
20 Jan 2025	Facebook Ads - Store Promotion	Marketing	- 350
22 Jan 2025	State Farm - Business Insurance	Insurance	- 280
25 Jan 2025	Owner's personal Tesla lease payment *	Vehicle	- 1,150
28 Jan 2025	Smith & Associates - Legal Fees	Professional Fees	- 600
5 Feb 2025	Square Payments Inc - Retail Sales	Revenue	19,850
10 Feb 2025	ABC Hardware Distributors LLC	COGS	- 9,800
15 Feb 2025	Gusto Payroll - Staff Wages	Payroll	- 6,500
15 Feb 2025	Westgate Properties - Store Rent	Rent	- 3,200
18 Feb 2025	Pacific Gas & Electric	Utilities	- 395
20 Feb 2025	Facebook Ads - Store Promotion	Marketing	- 350
22 Feb 2025	State Farm - Business Insurance	Insurance	- 280
25 Feb 2025	Owner's personal Tesla lease payment *	Vehicle	- 1,150
28 Feb 2025	Delta Airlines - Owner personal Cancun ... *	Travel & Entertainment	- 2,400
5 Mar 2025	Square Payments Inc - Retail Sales	Revenue	21,100
10 Mar 2025	ABC Hardware Distributors LLC	COGS	- 10,500
15 Mar 2025	Gusto Payroll - Staff Wages	Payroll	- 6,500
15 Mar 2025	Westgate Properties - Store Rent	Rent	- 3,200
15 Mar 2025	Gusto Payroll - J. Smith (owner's son) *	Payroll	- 3,200
18 Mar 2025	Pacific Gas & Electric	Utilities	- 420
20 Mar 2025	Facebook Ads - Store Promotion	Marketing	- 400
22 Mar 2025	State Farm - Business Insurance	Insurance	- 280
25 Mar 2025	Owner's personal Tesla lease payment *	Vehicle	- 1,150
28 Mar 2025	Home Depot - Store Fixtures	Other Operating Expense	- 890
5 Apr 2025	Square Payments Inc - Retail Sales	Revenue	22,300
10 Apr 2025	ABC Hardware Distributors LLC	COGS	- 11,200
15 Apr 2025	Gusto Payroll - Staff Wages	Payroll	- 6,800
15 Apr 2025	Westgate Properties - Store Rent	Rent	- 3,200

15 Apr 2025	Gusto Payroll - J. Smith (owner's son) *	Owner Compensation	- 13,200
18 Apr 2025	Pacific Gas & Electric	Utilities	- 1405
20 Apr 2025	Facebook Ads - Store Promotion	Marketing	- 1400
22 Apr 2025	State Farm - Business Insurance	Insurance	- 1280
25 Apr 2025	Owner's personal Tesla lease payment *	Vehicle	- 11,150
28 Apr 2025	Riverside Country Club - Membership Dues *	Travel & Entertainment	- 1450
5 May 2025	Square Payments Inc - Retail Sales	Revenue	123,750
10 May 2025	ABC Hardware Distributors LLC	COGS	- 111,900
15 May 2025	Gusto Payroll - Staff Wages	Payroll	- 16,800
15 May 2025	Westgate Properties - Store Rent	Rent	- 13,200
15 May 2025	Gusto Payroll - J. Smith (owner's son) *	Owner Compensation	- 13,200
18 May 2025	Pacific Gas & Electric	Utilities	- 1430
20 May 2025	Facebook Ads - Store Promotion	Marketing	- 1450
22 May 2025	State Farm - Business Insurance	Insurance	- 1280
25 May 2025	Owner's personal Tesla lease payment *	Vehicle	- 11,150
30 May 2025	Johnson Legal Group - Settlement Paymen... *	Professional Fees	- 118,000
5 Jun 2025	Square Payments Inc - Retail Sales	Revenue	124,900
10 Jun 2025	ABC Hardware Distributors LLC	COGS	- 112,400
15 Jun 2025	Gusto Payroll - Staff Wages	Payroll	- 16,800
15 Jun 2025	Westgate Properties - Store Rent	Rent	- 13,200
15 Jun 2025	Gusto Payroll - J. Smith (owner's son) *	Payroll	- 13,200
18 Jun 2025	Pacific Gas & Electric	Utilities	- 1455
20 Jun 2025	Facebook Ads - Store Promotion	Marketing	- 1450
22 Jun 2025	State Farm - Business Insurance	Insurance	- 1280
25 Jun 2025	Owner's personal Tesla lease payment *	Vehicle	- 11,150
28 Jun 2025	Verizon Wireless - Owner personal cell ... *	Utilities	- 1180

